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BOOK

QRU Pivot Points in Day Trading — Book

A Finance learning product

Foundational • General public

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Edition 1

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QRU Pivot Points in Day Trading - Book - Free Preview

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QRU Pivot Points in Day Trading

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How Traders Locate Turning Points and Draw Key Lines on

Charts

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Day traders watch prices move in real time. Their goal is not simply to guess whether a stock, futures contract, currency pair, or cryptocurrency will go up or down. Instead, many traders try to identify important areas on the chart where price may slow down, reverse, pause, or accelerate.

These important areas are often called pivot points, support, resistance, or key levels.

This book teaches the introductory idea behind those levels:

- How traders find turning points on charts
- How they draw simple lines that mark important price areas
- Why those lines matter
- How sports and football-field analogies can make the concept easier to understand
- Why pivot points are useful but never guaranteed

The central idea is simple:

Prices often react near places where traders previously made important decisions.

A pivot point is like a spot on the field where the game changes direction.

Imagine a football field.

The field has:

- Yard lines
- End zones
- Midfield
- Boundaries
- Momentum shifts
- Defensive stands
- Breakaway runs

A price chart can be viewed in a similar way.

Instead of teams moving a ball down the field, buyers and sellers move price up and down. Buyers try to push price higher. Sellers try to push price lower.

On a football field, the 50-yard line matters because it marks an important zone. Near the goal line, pressure increases. A team may stall, break through, or get pushed back.

On a chart, certain prices act like those important yard lines.

These chart "yard lines" may be:

- Previous highs
- Previous lows
- Opening price
- Previous day's closing price
- Calculated pivot levels
- Round numbers, such as $100 or $50
- Areas where price paused many times

A trader draws these levels to understand the playing field.

Everyday Analogy

Think of a shopping mall during a big sale. If many people gather near one store entrance, that entrance becomes important. Traffic slows, people make decisions, and movement changes.

A chart level works similarly. If many traders paid attention to a price before, it may become important again.

A pivot point is a price area where the market may change direction or where traders expect an important reaction.

There are two common meanings:

1. Visual pivot points
These are turning points seen directly on the chart, such as a swing high or swing low.

2. Calculated pivot points
These are mathematical levels based on previous price data, often the prior day's high, low, and close.

Both types help traders organize the chart.

A pivot point does not predict the future with certainty. It simply marks a place where traders may pay attention.

Simple Definition

A pivot point is a possible turning point or decision area on a chart.

Football Analogy

A pivot point is like a key yard line where the offense either breaks through or gets stopped.

Price approaches the level. Then traders watch:

- Does price bounce away?
- Does price break through?
- Does it hesitate?
- Does volume increase?
- Does momentum change?

The level itself is not magic. It matters because traders react to it.

The easiest pivot points to see are swing highs and swing lows.

Swing High

A swing high is a local peak on a chart.

Price rises, reaches a high point, then turns lower.

Example:

```
text
High
?
/ \
/ \
```

A swing high often becomes a possible resistance level.

Swing Low

A swing low is a local bottom on a chart.

Price falls, reaches a low point, then turns higher.

Example:

```
text
\ /
\ /
?
Low
```

A swing low often becomes a possible support level.

How to Spot Them

A beginner can look for simple turning shapes:

- Price rises, stops, then falls ? possible swing high
- Price falls, stops, then rises ? possible swing low

Many traders use candlestick charts, but the concept works on line charts too.

Football Analogy

A swing high is like a team driving downfield and getting stopped near the 20-yard line. They reached that area, but the defense pushed them back.

A swing low is like a team being pinned deep near its own end zone, then finally turning momentum around.

Two of the most important chart concepts are support and resistance.

Support

Support is a price area where buying has been strong enough to stop or slow a decline.

It is like the ground under a falling ball.

When price reaches support, traders ask:

- Will buyers step in again?
- Will price bounce?
- Will sellers overpower buyers and push lower?

Resistance

Resistance is a price area where selling has been strong enough to stop or slow a rise.

It is like a ceiling above a rising ball.

When price reaches resistance, traders ask:

- Will sellers appear again?
- Will price reject the level?
- Will buyers break through?

Support and Resistance Are Zones, Not Laser Lines

Beginners often think support and resistance are exact prices.

In real trading, they are usually areas.

For example, if a stock has reacted around $50 several times, the important zone may be roughly

$49.80 to $50.20 rather than exactly $50.00.

Football Analogy

A yard line is exact, but the struggle happens around it. A team may be inches short, exactly on the line, or slightly past it before the officials decide the result.

Chart levels work the same way. Price often tests around a level rather than stopping perfectly on it.

Drawing key lines is one of the first practical skills traders learn.

The purpose is not to decorate the chart. The purpose is to mark places where price has shown importance.

Step 1: Choose a Timeframe

Day traders often use short timeframes such as:

- 1-minute chart
- 5-minute chart
- 15-minute chart

They may also look at higher timeframes, such as:

- 1-hour chart
- Daily chart

Higher-timeframe levels are often important because more traders can see them.

Step 2: Mark Obvious Highs and Lows

Start with the clearest turning points:

- Previous day high
- Previous day low
- Current day high
- Current day low
- Major intraday swing highs
- Major intraday swing lows

Do not mark every tiny wiggle. Focus on levels that clearly changed price direction.

Step 3: Draw Horizontal Lines

For support and resistance, draw horizontal lines across the chart.

Horizontal levels are useful because they show prices where traders reacted before.

Example:

text
Resistance
???????????????
?
/ \
/ \

Support
???????????????

Step 4: Treat Lines as Zones

If price reacted several times near $100, draw a zone around that area rather than assuming $100.00 is the only important number.

Example:

text
Resistance Zone
???????????????

Step 5: Avoid Overcrowding

Too many lines make the chart confusing.

A beginner should usually mark only the most obvious levels.

A clean chart helps decision-making.

Simple Rule

If you have to work too hard to justify a line, it may not be important.

In addition to visual levels, many traders use calculated pivot points.

The most common traditional formula is called the classic pivot point.

It uses the previous trading session's:

- High
- Low
- Close

Main Pivot Formula

text
Pivot Point = (Previous High + Previous Low + Previous Close) ÷ 3

This gives a central reference level for the new trading day.

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